# Applied Materials

AMAT | NASDAQ | 2026-10-07

## Q4 2027 model ceiling: USD 526.87

Analytical Base 46/60 = 77 | Structural technology enabler / qualified process bottleneck

20x forward-four-quarter GAAP operating profit divided by 800m diluted shares. Labeled quarter includes that quarter plus the next three. No net-cash addition.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

## Decision in the model

| Active horizon | Earnings window | F4Q OP | Multiple | Diluted shares | Ceiling |
|---|---|---|---|---|---|
| Q4 2027 | Q4 2027 through Q3 2028 | 21,074.9 | 20x | 800.000 | 526.87 |

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

# Thesis

Applied Materials sells the machinery, process knowledge and service that turn a semiconductor design into repeatable good chips. Its strongest AI exposure comes from customers needing more difficult materials processing per useful device. The active Q4 2027 model ceiling is **$526.87 per share**, using **20x $21.075bn of forward-four-quarter GAAP operating profit and 800m diluted shares**. The window is Q4 2027 through Q3 2028. The analytical Base is **77**. This is a model of accepted equipment and service revenue; no investment portfolio or cash balance is added to the ceiling.

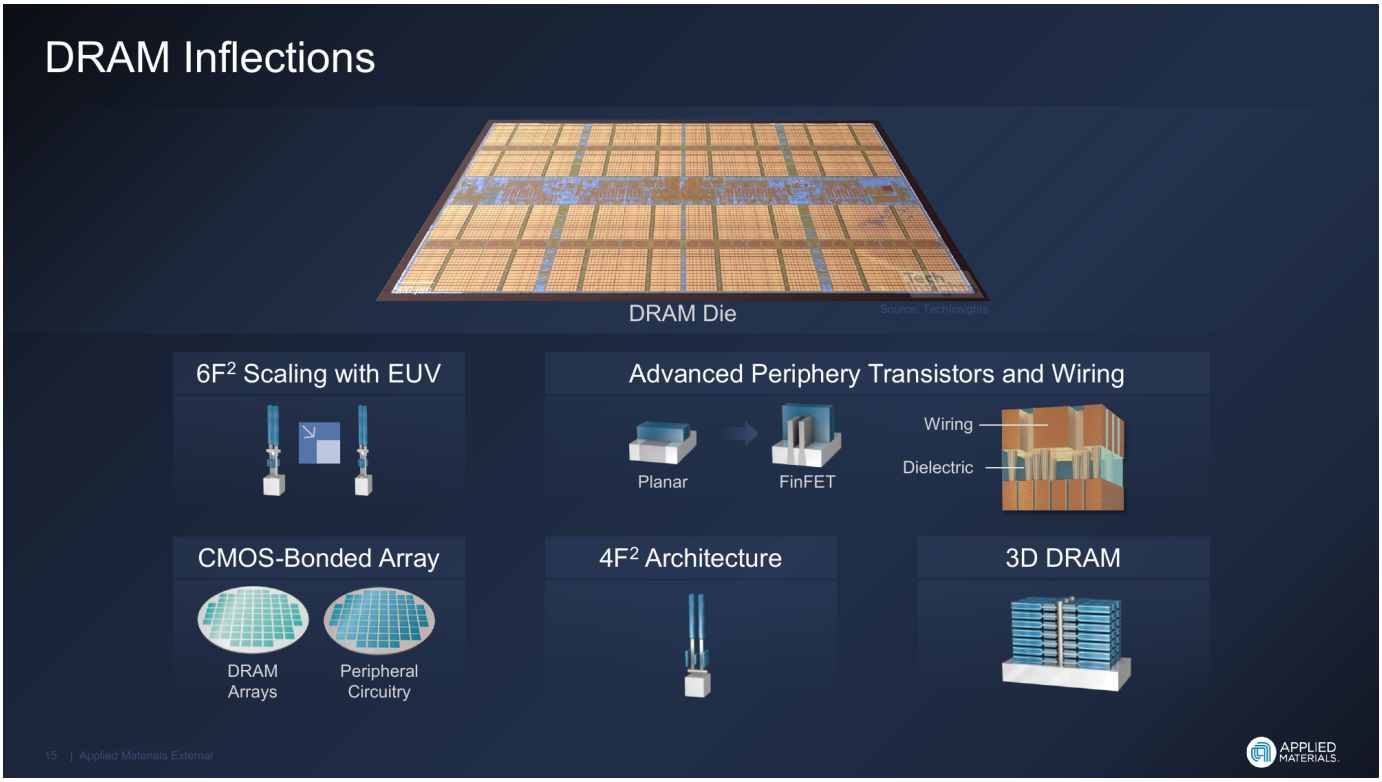
The distinction matters because exciting architectures are not separate invoices. Gate-all-around transistors, HBM, new DRAM structures, chiplets, process control and hybrid bonding can all describe different steps in the same customer's investment program. The model already contains a substantial systems ramp. Its three explicit evidence branches add only $1.54 to the active-quarter ceiling on a net basis after pricing, qualification costs and China risk.

# Engineering demand drivers

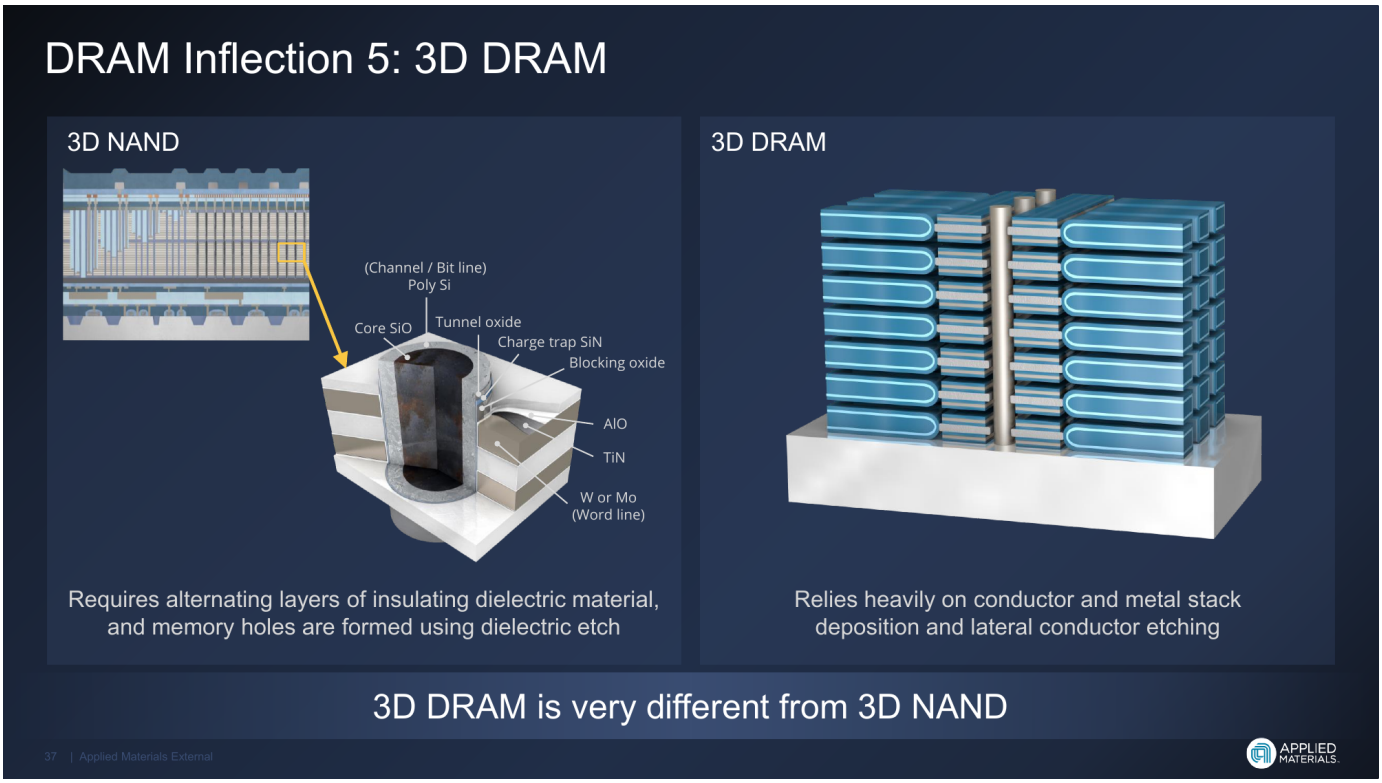
Smaller transistors make control of interfaces, thickness and defects more valuable. Stacking memory shifts part of the problem toward stress, thermal budgets, bonding surfaces and inspection. Applied's June technical presentation illustrates a DRAM path through bonded peripheral logic, vertical cells and eventually three-dimensional structures. These are development paths with different timelines, not an assertion that every architecture will simultaneously require a complete new fab.

The investment mechanism is the cost of a defective high-value wafer or package. A process that preserves yield can justify an expensive qualified tool even when its contribution is a small portion of the customer's finished system cost. Qualification then creates switching friction: a competitor must demonstrate performance in the customer's actual process, not just a favorable laboratory specification.

Applied's breadth is helpful here, but breadth is not exclusivity. A customer can choose a rival's etch, deposition, inspection or bonding tool at the next node. More process steps may create opportunity for several suppliers while a higher-throughput tool reduces the number of machines needed for a given wafer volume. Our economic bridge therefore uses a bounded incremental equipment wallet after overlap, rather than multiplying all technical difficulty by the entire chip market.




Original issuer exhibit | Memory transitions are alternative and sequential architectures; do not add every roadmap node as independent demand.



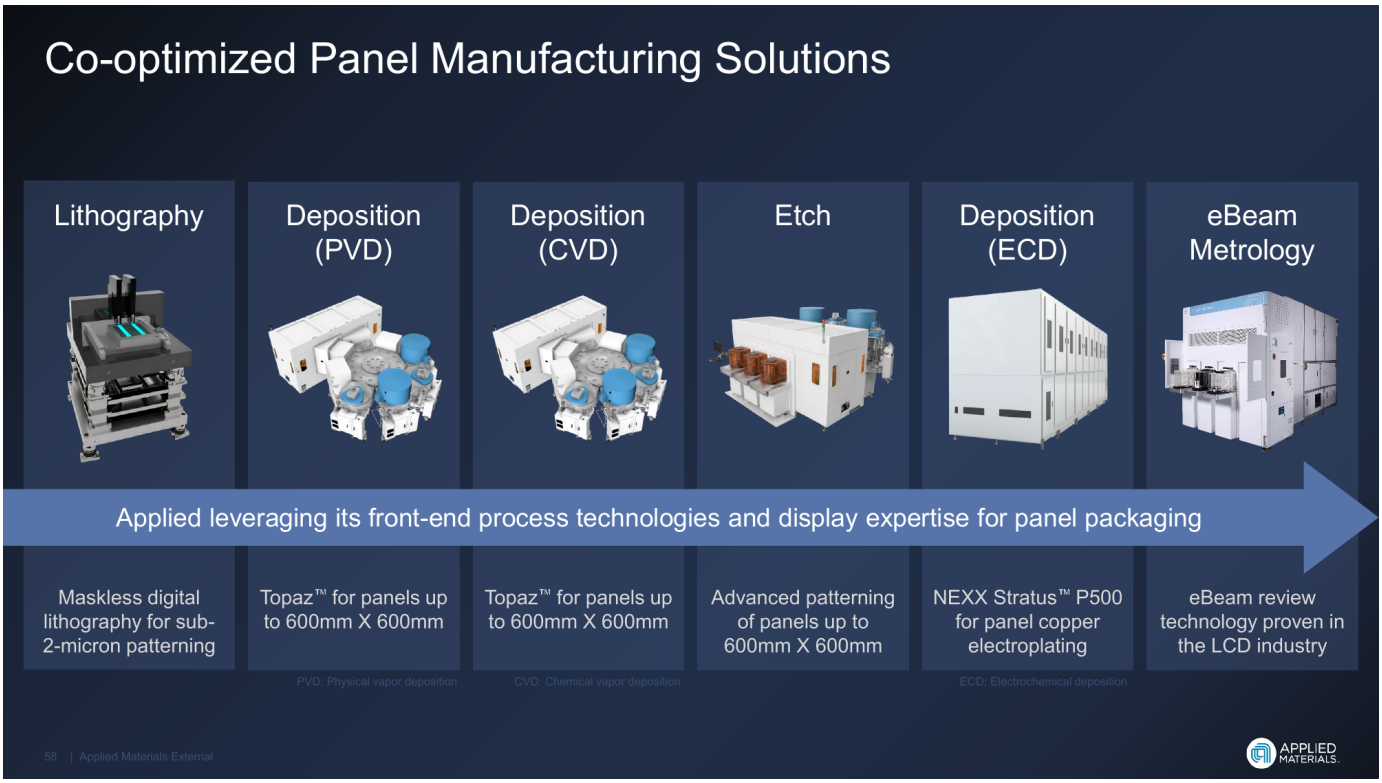

Original issuer exhibit | 3D DRAM and 3D NAND have materially different conductor/dielectric process flows.

## Packaging and nested revenue

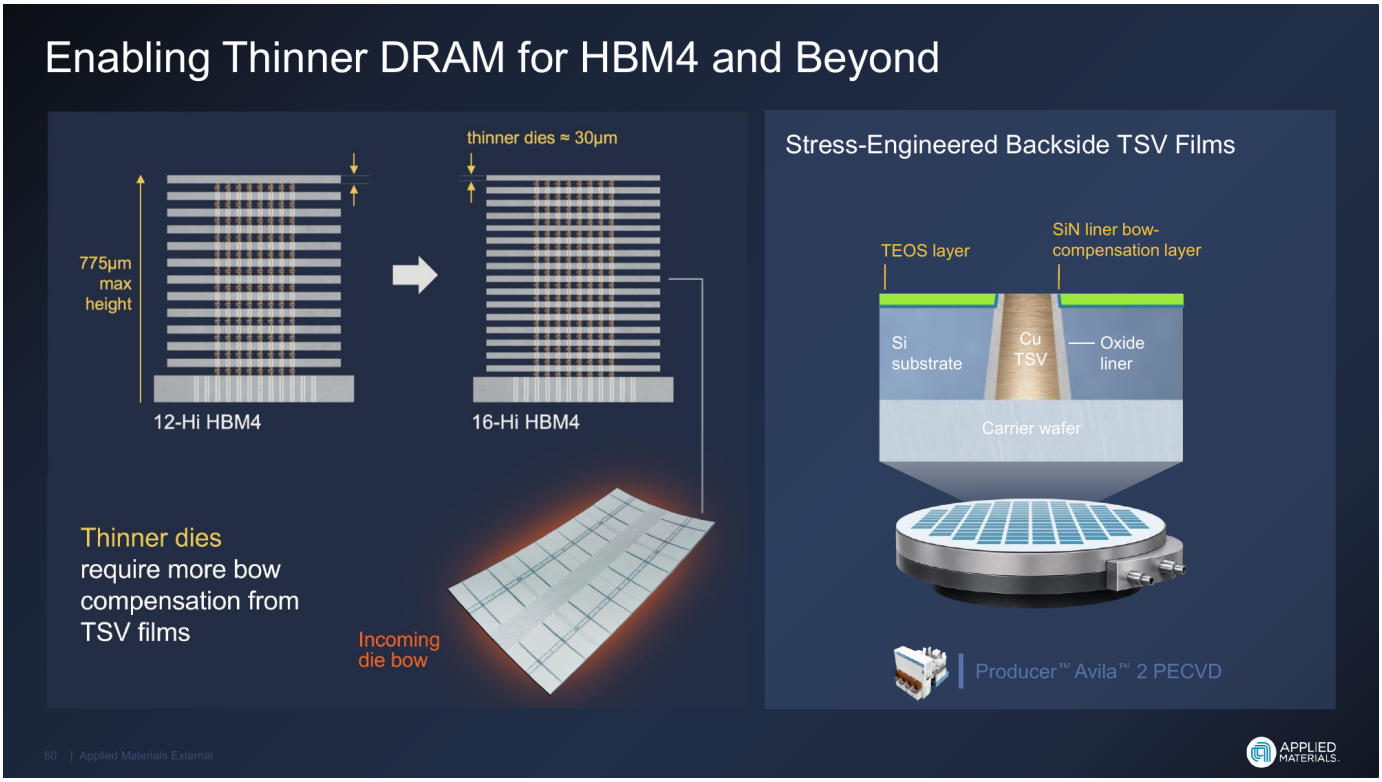
Advanced packaging is included in Semiconductor Systems; HBM-related packaging is included in DRAM revenue. Those revenues must not be added again to a separate AI segment. The June deck shows how thinner dies create warpage and handling demands and how panel formats change process geometry. Larger working area alone does not establish more saleable packages: edge losses, flatness, defects, cycle time and customer acceptance determine useful output.

The Kinex example is similarly specific. Its illustrated queue-time comparison uses different lot-handling arrangements: a 13-wafer carrier in the standalone case versus a single wafer in the integrated case. It supports the importance of limiting the time between activation and bonding, but it is not evidence of thirteenfold equipment throughput or a universal yield improvement. Our source exhibit retains these footnotes.

The commercial question is which additional process module a customer needs, how many tools it accepts, and what Applied retains after manufacturing, installation and support. Nominal fab area, technical steps and total packaging market size are context rather than company revenue.




Original issuer exhibit | Panel processing broadens tool requirements; nominal area is not good-unit capacity.




Original issuer exhibit | Thin-die stress and warpage control add process difficulty and qualification requirements.

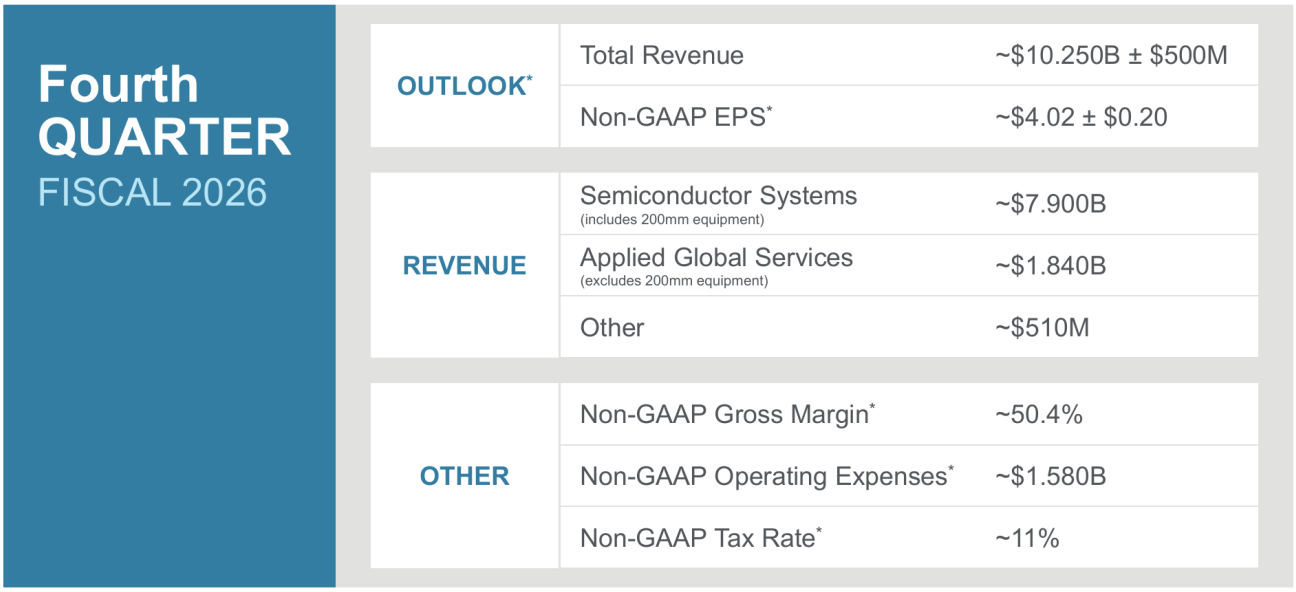
## Latest financial anchor

The July 26 quarter produced revenue of $9.115bn, gross profit of $4.586bn and GAAP operating profit of $3.075bn. R&D was $1.100bn, marketing and selling $249m, and G&A $162m. The model uses GAAP costs, including share compensation. It does not substitute non-GAAP segment profit for consolidated profit.

For the following fiscal quarter, the issuer's midpoint is $10.25bn revenue with 50.4% non-GAAP gross margin and $1.58bn non-GAAP operating expense. The disclosed $12m of known acquisition charges produces a $3.574bn GAAP operating-profit proxy. Allocating $7m to cost of sales and $5m to expense is our accounting allocation; only the aggregate exclusion is issuer guidance. Unknown future charges remain a risk. These facts are documented in the August earnings materials and the filed 10-Q.

Fiscal and calendar timing need care. Our calendar Q3 2026 combines one third of the reported fiscal Q3 with two thirds of fiscal Q4 guidance. Calendar Q4 combines one third of fiscal Q4 with two thirds of modeled fiscal Q1 2027. This is a monthly interpolation, not management's calendar-quarter guidance. Fiscal Q1 2027 contains an extra week, for which the model explicitly raises expense.

## Business Outlook




Original issuer exhibit | Issuer Q4 guidance is non-GAAP; the model retains GAAP SBC and subtracts the known $12m acquisition charges.

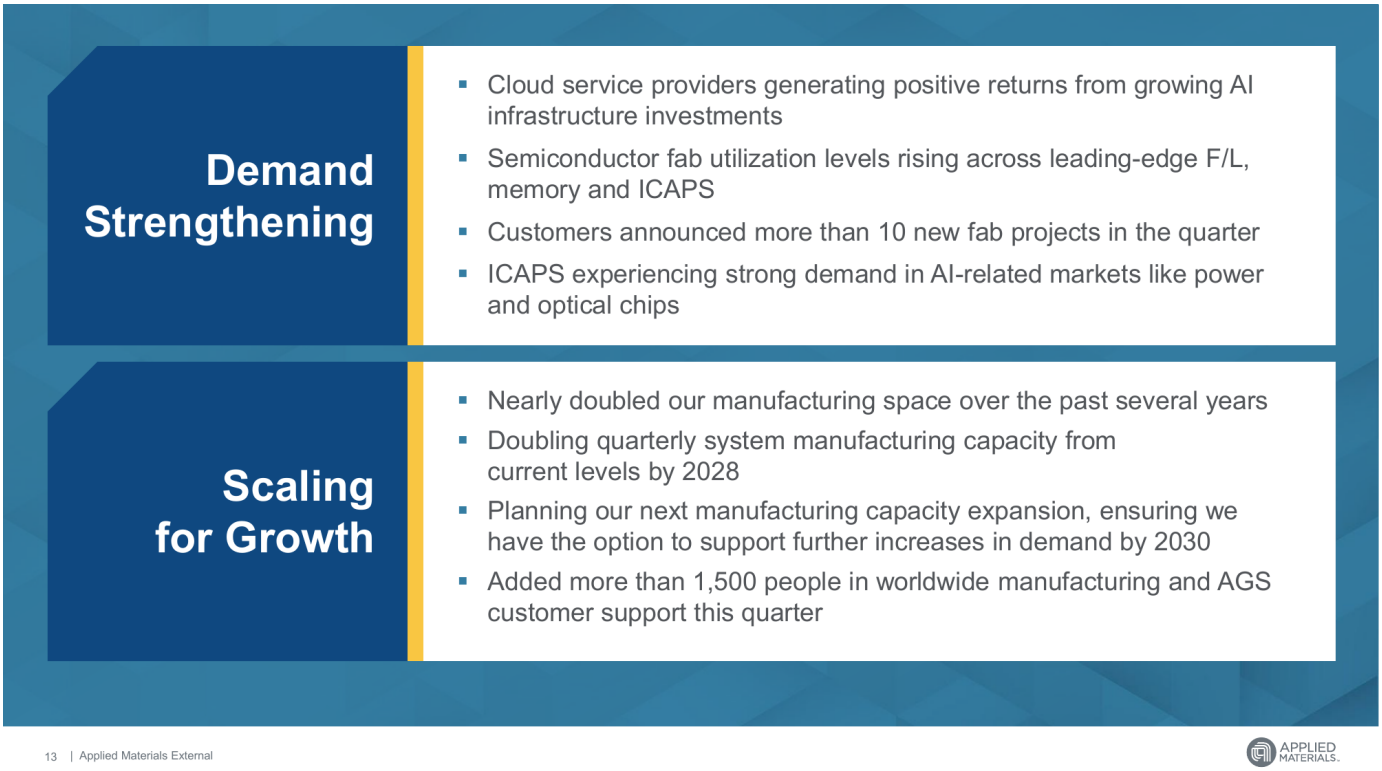
# Capacity and qualification

The near-term revenue ramp is grounded in the latest segment run rate and the company's plans for higher output. Applied says it is building the ability to double quarterly systems output from its then-current level by 2028. That is an upper capacity ambition, not a forecast that every additional tool ships at today's price or margin. Parts, trained engineers, customer cleanrooms and qualification can constrain accepted sales before floor space is exhausted.

Our reference Semiconductor Systems sales total $38.0bn in 2027 and $45.2bn in 2028, with quarterly 2028 sales of $10.6bn to $11.9bn. This is below twice the latest $7.04bn quarter, but a dollar comparison is only a broad capacity check because product mix changes. The model requires strong execution rather than assuming spare floor area immediately becomes revenue.

The independent demand check is SEMI's July forecast: wafer-fab equipment grows from $143.9bn in 2026 to roughly $175.3bn in 2027 and $200.0bn in 2028. Our systems trajectory grows faster, so it requires a richer process mix and share capture, not merely industry expansion. The broad ratios of modeled systems sales to WFE are about 21.7% and 22.6%; they are scope diagnostics, not market-share estimates, because our segment includes some packaging equipment while SEMI's categories differ. TSMC's July capital budget also supports customer investment, but buildings and non-Applied tools cannot be assigned to Applied as a purchase order.

Reference AGS sales rise from $9.0bn in 2027 to $10.35bn in 2028. A larger installed base, parts consumption and service attachment support this trajectory. It remains exposed to utilization, contract renewal and customers doing maintenance themselves. Other revenue uses the issuer's approximately $400m quarterly 2027 planning level, with only modest subsequent growth. The combined reference reaches $48.6bn in 2027 and $57.2bn in 2028. Growth then moderates to $60.83bn and $65.88bn in 2029 and 2030 rather than extrapolating the current acceleration indefinitely.




Original issuer exhibit | Capacity plans are not current accepted output: systems output is targeted to double by 2028.

## Pricing and economics

Revenue alone does not explain the profit trajectory. Reference Semiconductor Systems gross margin increases from 56.0% to 57.2% during 2027 and to 57.6% by the end of 2028. AGS rises from 35.8% to 37.0%. These are model assumptions reflecting mix, productivity and the issuer's already-established value-pricing program; they are not contractual margin guarantees. Systems margin moderates after 2028 as customer and competitive responses catch up.

Costs rise in dollars throughout. Reference R&D totals $5.36bn in 2027 and $6.12bn in 2028; marketing and selling are $1.17bn and $1.29bn; G&A is $790m and $870m. Total expense therefore grows from $7.32bn to $8.28bn. This funds manufacturing support, engineering and the broader roadmap while allowing operating leverage as sales grow faster. GAAP share compensation is inside these lines, with separate cash-flow addbacks only for the funding test. It is never removed from the valued operating profit.

The scarcity-pricing branch assigns a 60% probability to an additional 2% premium on half of future systems sales, with a 1-3% conditional range. Half the prospective gain is removed as overlap with reference margins. Thus the net conditional revenue increment is only 0.5% of systems sales. Manufacturing/input costs consume 15% of the increase and incremental support another 5%, leaving 80% operating flow-through. It starts in 2027 and does not reprice already-guided revenue or assume fixed-price backlog can be renegotiated.




Original issuer exhibit | Issuer reports value-based pricing already in actual margins; new model premiums remove overlap.

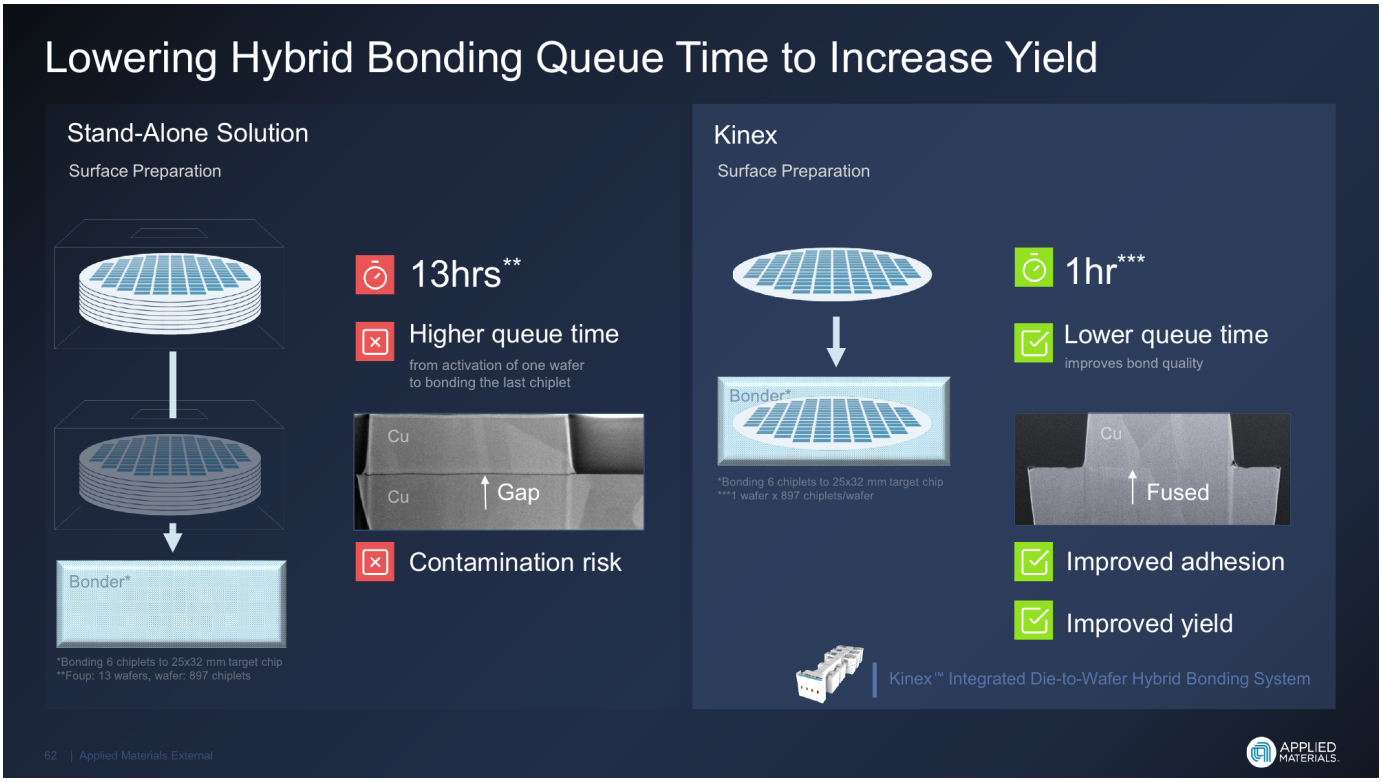
## EPIC and competition

The September Kioxia and October Besi and Intel announcements broaden collaborative development. Intel's scope includes advanced transistor and interconnect work and packaging; Besi extends the existing integration relationship. These are credible commercial-development breadcrumbs, but they do not disclose a purchased equipment quantity, price or acceptance schedule. The EPIC investment is spending over time, not a fresh $5bn annual operating charge or an equivalent customer order.

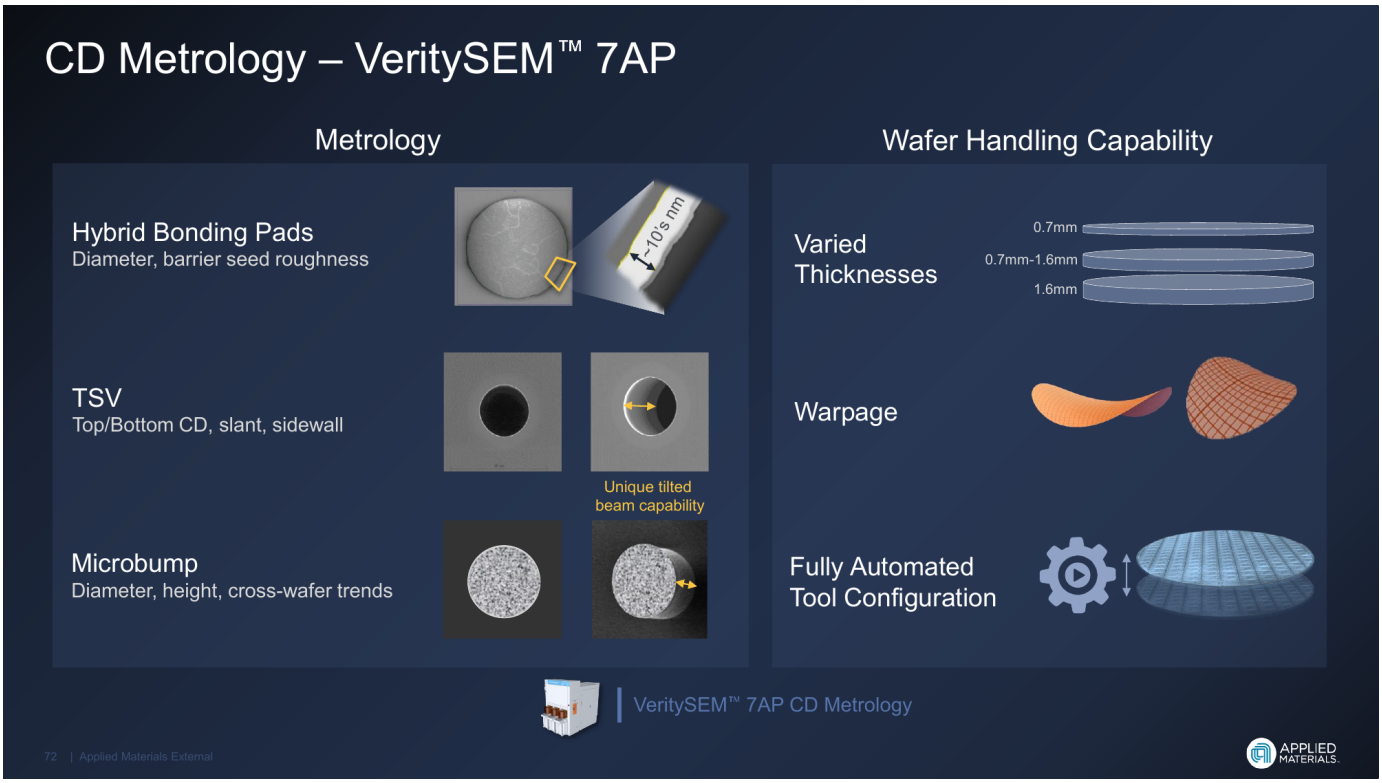
We assign a 55% probability to incremental qualification wins beyond the existing model. The selected 2027 gross opportunity is 40 tool-equivalents at $7m, or $280m, within a $180-400m range. These units and prices are analytical proxies. Removing 50% overlap leaves $140m of conditional 2027 revenue; the conditional net wallet expands to $300m, $475m and $650m in 2028-30. At 56% gross margin, 20% variable engineering/support expense and annual fixed qualification costs of $40m, $60m, $75m and $80m, the earnings benefit is much smaller than the headline equipment opportunity. There is no separate increment for every partner announcement.

Competition operates at the individual qualified process. International specialists, Chinese equipment suppliers, customer internal service teams and third-party maintenance providers can all restrict value capture. Applied's annual report emphasizes performance, productivity, ownership cost and service rather than a single universal moat. Two customers represented 19% and 15% of FY2025 revenue, so concentrated purchasing decisions and node schedules can outweigh a healthy global market.

A separate 25% probability branch models incremental China restriction or local substitution. It assumes a 10% loss on a 25% exposed systems pool, bounded at 5-15%, with half recaptured elsewhere. Net conditional loss is 1.25% of systems revenue. Lost gross profit is partly offset by variable spending savings. Existing controls and the already-booked legal settlement stay in the reference; the branch does not claim that another restriction is already law.




Original issuer exhibit | Kinex integrates surface preparation and placement; process queue-time examples are not throughput guarantees.




Original issuer exhibit | Advanced-packaging e-beam metrology is already qualified at multiple customers; exact units and ASPs are undisclosed.

## Shares and funding

Reported legal common shares were 793.597m and quarterly diluted weighted-average shares were 800m. The forward model retains 800m rather than automatically shrinking shares by the unused repurchase authorization. This assumes future capital return broadly offsets employee issuance; it grants no net buyback accretion. A 10% larger denominator lowers every ceiling by 9.09%, which provides a transparent failure sensitivity if dilution is not offset.

July cash and short-term investments total $9.233bn against $6.6bn of debt principal. The model's funding test excludes strategic long-term investments and does not add liquidity to the ceiling. It includes capex of $3.6bn in 2027 and $4.0bn in 2028, then $3.6bn annually, plus disclosed debt-maturity timing. Cash taxes, interest and working capital use explicit proxies: 15% tax, 4% debt cost and working assets equal to 68% of quarterly sales. Flexible capital return distributes 80% of positive free cash after debt reserves, with the current dividend inside that distribution.

All eight combinations of the three evidence outcomes remain funded in this simplified test. That does not prove every future acquisition or EPIC commitment is already covered. It shows the modeled operating expansion needs no new equity under stated assumptions. Rental costs remain in operations; operating leases are not deducted again as financial debt under the selected operating-profit method.

### Strong Investment-Grade Balance Sheet

| CASH AND INVESTMENTS ($M) | FQ3'25 | FQ4'25 | FQ1'26 | FQ2'26 | FQ3'26 |
|---|---|---|---|---|---|
| Cash and Cash Equivalents | 5,384 | 7,241 | 7,218 | 6,301 | 7,037 |
| Short-Term Investments | 1,630 | 1,332 | 1,293 | 1,940 | 2,196 |
| Long-Term Investments | 4,133 | 4,327 | 4,968 | 5,142 | 5,268 |
| **Total Cash and Investments** | **11,147** | **12,900** | **13,479** | **13,383** | **14,501** |
| **DEBT ($M)** | | | | | |
| Short-Term Debt* Current ratings (Moody's / S&P): P-1 / A-1 | 799 | 100 | 100 | 1,199 | 1,299 |
| Long-Term Debt Current ratings (Moody's / S&P): A2 / A | 5,463 | 6,455 | 6,453 | 5,256 | 5,245 |
| **Total Debt** | **6,262** | **6,555** | **6,553** | **6,455** | **6,544** |

* Includes commercial paper and current portion of long-term debt

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APPLIED MATERIALS.

Original issuer exhibit | Issuer cash, investments and debt: only cash and short-term investments enter the funding check.

## What changes the conclusion

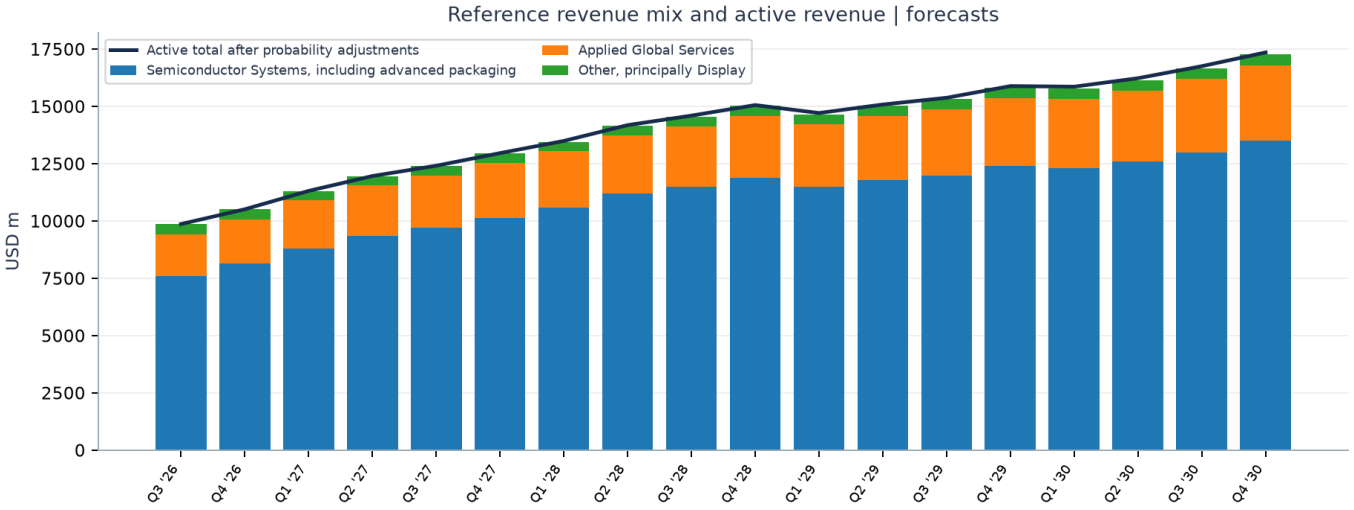
The most important checkpoints are accepted systems revenue against the steep 2027 trajectory, sustained gross margin after capacity additions, R&D and support expense, AGS attachment, China exposure and customer capital spending. A delay in memory cleanroom readiness is a timing issue; a lost qualified process is a share issue. They require different model changes.

The model's small net evidence increment should not obscure the ambitious reference. A broad equipment downturn, lower process share or failure to achieve the margin trajectory would matter far more than the additional EPIC option. Conversely, disclosed qualified orders and accepted tool economics could justify replacing the current bounded qualification proxy. The 20x multiple is retained independently of the market quote; the ceiling follows the operating model rather than a target-price consensus.

## Score arithmetic

| Category | Points | Evidence / treatment |
|---|---|---|
| Core thesis | 18 | Qualified materials and process portfolio with installed-base service, not a monopoly across all steps. |
| Cycle | 8 | Steep confirmed growth and customer cleanroom expansion, still capital-cycle sensitive. |
| TAM | 8 | Architectural process intensity plus services, constrained by overlapping wallets and customer budgets. |
| Catalysts | 4 | Q4 delivery, DRAM cleanroom additions, qualified packaging products and EPIC milestones. |
| Macro | 9 | AI investment and memory transitions support equipment demand. |
| Alpha | 2 | Widely covered leader; the engineering mix is richer than a simple WFE beta. |
| Risk classes | -3 | China controls/local substitution, customer concentration, capacity execution and cyclical overbuild. |
| Total | 46/60 | Rounded Base 77. Both artifact and new workbook row use this score; this is not a manual override. |

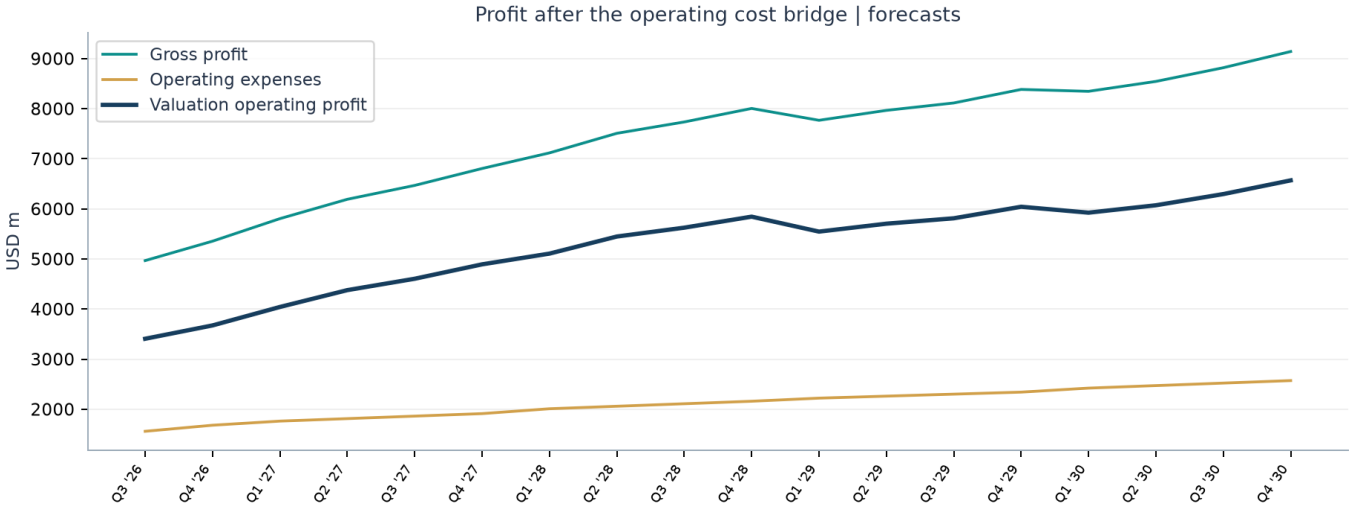
# Revenue and business mix




Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

| Quarter | Reference revenue | Weighted net change | Active revenue |
|---|---|---|---|
| Q3 2026 | 9,871.7 | 0.0 | 9,871.7 |
| Q4 2026 | 10,516.7 | 0.0 | 10,516.7 |
| Q1 2027 | 11,300.0 | 18.1 | 11,318.1 |
| Q2 2027 | 11,950.0 | 18.1 | 11,968.1 |
| Q3 2027 | 12,400.0 | 18.0 | 12,418.0 |
| Q4 2027 | 12,950.0 | 18.0 | 12,968.0 |
| Q1 2028 | 13,460.0 | 39.9 | 13,499.9 |
| Q2 2028 | 14,150.0 | 39.9 | 14,189.9 |
| Q3 2028 | 14,565.0 | 39.8 | 14,604.8 |
| Q4 2028 | 15,025.0 | 39.8 | 15,064.8 |
| Q1 2029 | 14,655.0 | 63.9 | 14,718.9 |
| Q2 2029 | 15,025.0 | 63.8 | 15,088.8 |
| Q3 2029 | 15,320.0 | 63.8 | 15,383.8 |
| Q4 2029 | 15,830.0 | 63.8 | 15,893.8 |
| Q1 2030 | 15,780.0 | 87.8 | 15,867.8 |
| Q2 2030 | 16,150.0 | 87.8 | 16,237.8 |
| Q3 2030 | 16,675.0 | 87.8 | 16,762.8 |
| Q4 2030 | 17,275.0 | 87.7 | 17,362.7 |

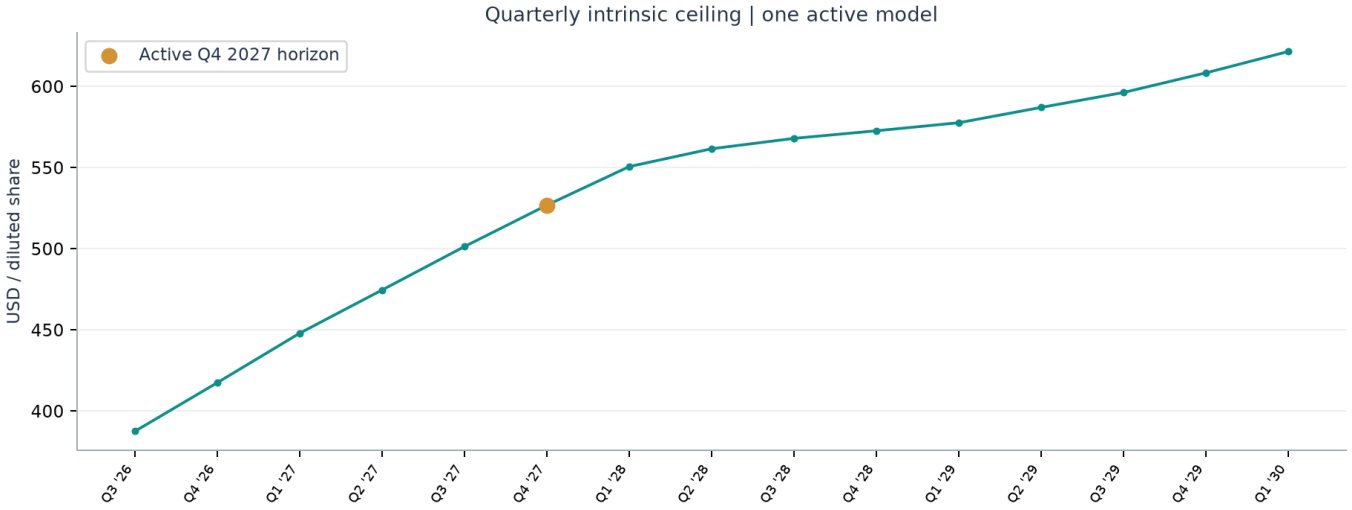
# Gross profit, operating expenses and earnings




Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

| Quarter | Revenue | GP | Opex | Valuation OP | OP margin |
|---|---|---|---|---|---|
| Q3 2026 | 9,871.7 | 4,968.0 | 1,560.3 | 3,407.7 | 34.5% |
| Q4 2026 | 10,516.7 | 5,355.7 | 1,681.7 | 3,674.1 | 34.9% |
| Q1 2027 | 11,318.1 | 5,805.9 | 1,763.5 | 4,042.4 | 35.7% |
| Q2 2027 | 11,968.1 | 6,192.0 | 1,813.4 | 4,378.5 | 36.6% |
| Q3 2027 | 12,418.0 | 6,469.0 | 1,863.4 | 4,605.7 | 37.1% |
| Q4 2027 | 12,968.0 | 6,806.6 | 1,913.3 | 4,893.3 | 37.7% |
| Q1 2028 | 13,499.9 | 7,118.1 | 2,010.4 | 5,107.6 | 37.8% |
| Q2 2028 | 14,189.9 | 7,509.1 | 2,060.4 | 5,448.7 | 38.4% |
| Q3 2028 | 14,604.8 | 7,735.7 | 2,110.3 | 5,625.3 | 38.5% |
| Q4 2028 | 15,064.8 | 8,005.4 | 2,160.3 | 5,845.1 | 38.8% |
| Q1 2029 | 14,718.9 | 7,769.0 | 2,222.2 | 5,546.8 | 37.7% |
| Q2 2029 | 15,088.8 | 7,967.0 | 2,262.2 | 5,704.8 | 37.8% |
| Q3 2029 | 15,383.8 | 8,114.9 | 2,302.2 | 5,812.8 | 37.8% |
| Q4 2029 | 15,893.8 | 8,385.2 | 2,342.1 | 6,043.0 | 38.0% |
| Q1 2030 | 15,867.8 | 8,347.5 | 2,422.6 | 5,924.8 | 37.3% |
| Q2 2030 | 16,237.8 | 8,545.2 | 2,472.6 | 6,072.6 | 37.4% |
| Q3 2030 | 16,762.8 | 8,818.6 | 2,522.6 | 6,296.0 | 37.6% |
| Q4 2030 | 17,362.7 | 9,142.0 | 2,572.5 | 6,569.5 | 37.8% |

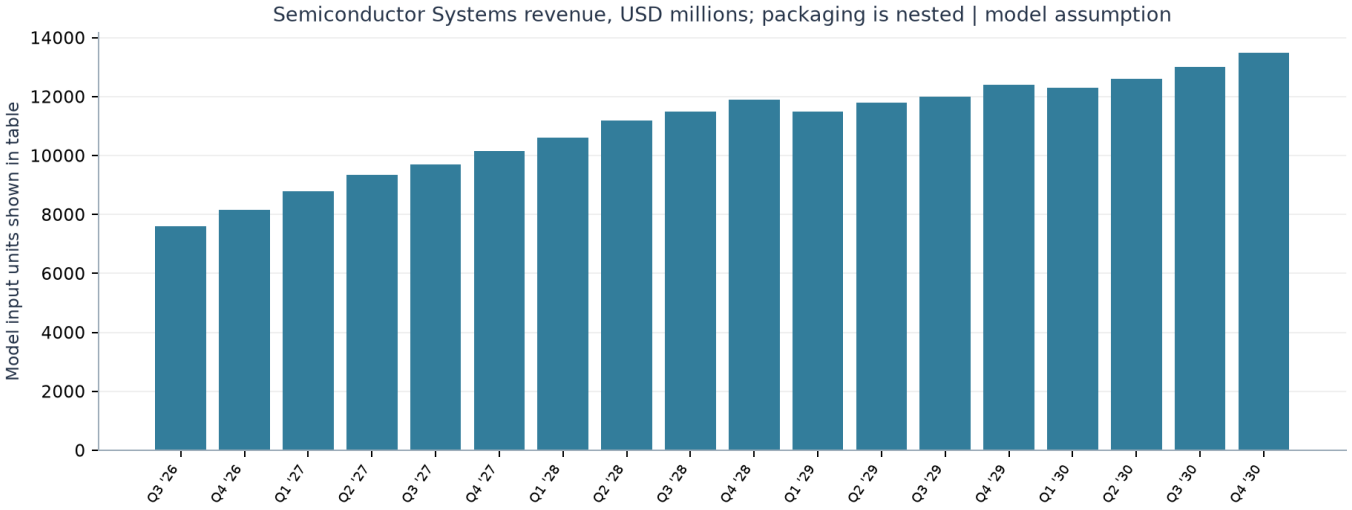
# The complete ceiling path




Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

| Quarter | Four-quarter earnings window | F4Q OP | Multiple | Shares | Ceiling |
|---|---|---|---|---|---|
| Q3 2026 | Q3 2026 to Q2 2027 | 15,502.7 | 20x | 800.000 | 387.57 |
| Q4 2026 | Q4 2026 to Q3 2027 | 16,700.7 | 20x | 800.000 | 417.52 |
| Q1 2027 | Q1 2027 to Q4 2027 | 17,919.9 | 20x | 800.000 | 448.00 |
| Q2 2027 | Q2 2027 to Q1 2028 | 18,985.1 | 20x | 800.000 | 474.63 |
| Q3 2027 | Q3 2027 to Q2 2028 | 20,055.3 | 20x | 800.000 | 501.38 |
| Q4 2027 | Q4 2027 to Q3 2028 | 21,074.9 | 20x | 800.000 | 526.87 |
| Q1 2028 | Q1 2028 to Q4 2028 | 22,026.7 | 20x | 800.000 | 550.67 |
| Q2 2028 | Q2 2028 to Q1 2029 | 22,465.9 | 20x | 800.000 | 561.65 |
| Q3 2028 | Q3 2028 to Q2 2029 | 22,722.0 | 20x | 800.000 | 568.05 |
| Q4 2028 | Q4 2028 to Q3 2029 | 22,909.5 | 20x | 800.000 | 572.74 |
| Q1 2029 | Q1 2029 to Q4 2029 | 23,107.4 | 20x | 800.000 | 577.69 |
| Q2 2029 | Q2 2029 to Q1 2030 | 23,485.5 | 20x | 800.000 | 587.14 |
| Q3 2029 | Q3 2029 to Q2 2030 | 23,853.3 | 20x | 800.000 | 596.33 |
| Q4 2029 | Q4 2029 to Q3 2030 | 24,336.5 | 20x | 800.000 | 608.41 |
| Q1 2030 | Q1 2030 to Q4 2030 | 24,863.0 | 20x | 800.000 | 621.57 |

# The operating constraint behind the forecast




The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

| Quarter | Semiconductor Systems revenue, USD millions; packaging is nested | Status |
|---|---|---|
| Q3 2026 | 7,613.333 | Monthly fiscal-to-calendar interpolation |
| Q4 2026 | 8,166.667 | Monthly fiscal-to-calendar interpolation |
| Q1 2027 | 8,800.000 | Model; issuer outlook and industry demand calibrated |
| Q2 2027 | 9,350.000 | Model; issuer outlook and industry demand calibrated |
| Q3 2027 | 9,700.000 | Model; issuer outlook and industry demand calibrated |
| Q4 2027 | 10,150.000 | Model; issuer outlook and industry demand calibrated |
| Q1 2028 | 10,600.000 | Model; issuer outlook and industry demand calibrated |
| Q2 2028 | 11,200.000 | Model; issuer outlook and industry demand calibrated |
| Q3 2028 | 11,500.000 | Model; issuer outlook and industry demand calibrated |
| Q4 2028 | 11,900.000 | Model; issuer outlook and industry demand calibrated |
| Q1 2029 | 11,500.000 | Model; issuer outlook and industry demand calibrated |
| Q2 2029 | 11,800.000 | Model; issuer outlook and industry demand calibrated |
| Q3 2029 | 12,000.000 | Model; issuer outlook and industry demand calibrated |

| Quarter | Semiconductor Systems revenue, USD millions; packaging is nested | Status |
|---|---|---|
| Q4 2029 | 12,400.000 | Model; issuer outlook and industry demand calibrated |
| Q1 2030 | 12,300.000 | Model; issuer outlook and industry demand calibrated |
| Q2 2030 | 12,600.000 | Model; issuer outlook and industry demand calibrated |
| Q3 2030 | 13,000.000 | Model; issuer outlook and industry demand calibrated |
| Q4 2030 | 13,500.000 | Model; issuer outlook and industry demand calibrated |

# Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

| Quarter | Revenue vector | Revenue | Gross margin | Gross profit |
|---|---|---|---|---|
| Q3 2026 | Semiconductor Systems, including advanced packaging | 7,613.3 | 55.4% | 4,220.3 |
| Q3 2026 | Applied Global Services | 1,820.3 | 35.7% | 649.3 |
| Q3 2026 | Other, principally Display | 438.0 | 22.5% | 98.4 |
| Q4 2026 | Semiconductor Systems, including advanced packaging | 8,166.7 | 55.8% | 4,560.2 |
| Q4 2026 | Applied Global Services | 1,913.3 | 35.8% | 684.4 |
| Q4 2026 | Other, principally Display | 436.7 | 25.5% | 111.2 |
| Q1 2027 | Semiconductor Systems, including advanced packaging | 8,800.0 | 56.0% | 4,928.0 |
| Q1 2027 | Applied Global Services | 2,100.0 | 35.8% | 751.8 |
| Q1 2027 | Other, principally Display | 400.0 | 27.0% | 108.0 |
| Q2 2027 | Semiconductor Systems, including advanced packaging | 9,350.0 | 56.4% | 5,273.4 |
| Q2 2027 | Applied Global Services | 2,200.0 | 36.0% | 792.0 |
| Q2 2027 | Other, principally Display | 400.0 | 27.0% | 108.0 |
| Q3 2027 | Semiconductor Systems, including advanced packaging | 9,700.0 | 56.8% | 5,509.6 |
| Q3 2027 | Applied Global Services | 2,300.0 | 36.2% | 832.6 |
| Q3 2027 | Other, principally Display | 400.0 | 27.0% | 108.0 |
| Q4 2027 | Semiconductor Systems, including advanced packaging | 10,150.0 | 57.2% | 5,805.8 |
| Q4 2027 | Applied Global Services | 2,400.0 | 36.4% | 873.6 |
| Q4 2027 | Other, principally Display | 400.0 | 27.0% | 108.0 |
| Q1 2028 | Semiconductor Systems, including advanced packaging | 10,600.0 | 57.3% | 6,073.8 |
| Q1 2028 | Applied Global Services | 2,460.0 | 36.6% | 900.4 |
| Q1 2028 | Other, principally Display | 400.0 | 28.0% | 112.0 |
| Q2 2028 | Semiconductor Systems, including advanced packaging | 11,200.0 | 57.4% | 6,428.8 |
| Q2 2028 | Applied Global Services | 2,550.0 | 36.7% | 935.9 |
| Q2 2028 | Other, principally Display | 400.0 | 28.0% | 112.0 |

| Quarter | Revenue vector | Revenue | Gross margin | Gross profit |
|---|---|---|---|---|
| Q3 2028 | Semiconductor Systems, including advanced packaging | 11,500.0 | 57.5% | 6,612.5 |
| Q3 2028 | Applied Global Services | 2,640.0 | 36.8% | 971.5 |
| Q3 2028 | Other, principally Display | 425.0 | 28.0% | 119.0 |
| Q4 2028 | Semiconductor Systems, including advanced packaging | 11,900.0 | 57.6% | 6,854.4 |
| Q4 2028 | Applied Global Services | 2,700.0 | 37.0% | 999.0 |
| Q4 2028 | Other, principally Display | 425.0 | 28.0% | 119.0 |
| Q1 2029 | Semiconductor Systems, including advanced packaging | 11,500.0 | 57.3% | 6,589.5 |
| Q1 2029 | Applied Global Services | 2,730.0 | 37.0% | 1,010.1 |
| Q1 2029 | Other, principally Display | 425.0 | 29.0% | 123.2 |
| Q2 2029 | Semiconductor Systems, including advanced packaging | 11,800.0 | 57.3% | 6,761.4 |
| Q2 2029 | Applied Global Services | 2,800.0 | 37.0% | 1,036.0 |
| Q2 2029 | Other, principally Display | 425.0 | 29.0% | 123.2 |
| Q3 2029 | Semiconductor Systems, including advanced packaging | 12,000.0 | 57.3% | 6,876.0 |
| Q3 2029 | Applied Global Services | 2,870.0 | 37.0% | 1,061.9 |
| Q3 2029 | Other, principally Display | 450.0 | 29.0% | 130.5 |
| Q4 2029 | Semiconductor Systems, including advanced packaging | 12,400.0 | 57.3% | 7,105.2 |
| Q4 2029 | Applied Global Services | 2,980.0 | 37.0% | 1,102.6 |
| Q4 2029 | Other, principally Display | 450.0 | 29.0% | 130.5 |
| Q1 2030 | Semiconductor Systems, including advanced packaging | 12,300.0 | 57.2% | 7,035.6 |
| Q1 2030 | Applied Global Services | 3,030.0 | 37.0% | 1,121.1 |
| Q1 2030 | Other, principally Display | 450.0 | 29.0% | 130.5 |
| Q2 2030 | Semiconductor Systems, including advanced packaging | 12,600.0 | 57.2% | 7,207.2 |
| Q2 2030 | Applied Global Services | 3,100.0 | 37.0% | 1,147.0 |
| Q2 2030 | Other, principally Display | 450.0 | 29.0% | 130.5 |
| Q3 2030 | Semiconductor Systems, including advanced packaging | 13,000.0 | 57.2% | 7,436.0 |
| Q3 2030 | Applied Global Services | 3,200.0 | 37.0% | 1,184.0 |
| Q3 2030 | Other, principally Display | 475.0 | 29.0% | 137.8 |

| Quarter | Revenue vector | Revenue | Gross margin | Gross profit |
|---|---|---|---|---|
| Q4 2030 | Semiconductor Systems, including advanced packaging | 13,500.0 | 57.2% | 7,722.0 |
| Q4 2030 | Applied Global Services | 3,300.0 | 37.0% | 1,221.0 |
| Q4 2030 | Other, principally Display | 475.0 | 29.0% | 137.8 |

# Operating-cost derivation

| Quarter | R&D including GAAP SBC | Marketing and selling including GAAP SBC | G&A and recurring acquisition amortization |
|---|---|---|---|
| Q3 2026 | 1,140.0 | 256.3 | 164.0 |
| Q4 2026 | 1,226.7 | 273.3 | 181.7 |
| Q1 2027 | 1,280.0 | 285.0 | 190.0 |
| Q2 2027 | 1,320.0 | 290.0 | 195.0 |
| Q3 2027 | 1,360.0 | 295.0 | 200.0 |
| Q4 2027 | 1,400.0 | 300.0 | 205.0 |
| Q1 2028 | 1,470.0 | 315.0 | 210.0 |
| Q2 2028 | 1,510.0 | 320.0 | 215.0 |
| Q3 2028 | 1,550.0 | 325.0 | 220.0 |
| Q4 2028 | 1,590.0 | 330.0 | 225.0 |
| Q1 2029 | 1,630.0 | 340.0 | 230.0 |
| Q2 2029 | 1,660.0 | 345.0 | 235.0 |
| Q3 2029 | 1,690.0 | 350.0 | 240.0 |
| Q4 2029 | 1,720.0 | 355.0 | 245.0 |
| Q1 2030 | 1,770.0 | 370.0 | 255.0 |
| Q2 2030 | 1,810.0 | 375.0 | 260.0 |
| Q3 2030 | 1,850.0 | 380.0 | 265.0 |
| Q4 2030 | 1,890.0 | 385.0 | 270.0 |

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

# Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

| Quarter | Branch | p | Conditional revenue | Conditional GP | Conditional opex | Weighted OP |
|---|---|---|---|---|---|---|
| Q3 2026 | AMAT-REPRICE | 60% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q3 2026 | AMAT-QUALIFY | 55% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q3 2026 | AMAT-CHINA | 25% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q4 2026 | AMAT-REPRICE | 60% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q4 2026 | AMAT-QUALIFY | 55% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q4 2026 | AMAT-CHINA | 25% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q1 2027 | AMAT-REPRICE | 60% | 44.0 | 37.4 | 2.2 | 21.1 |
| Q1 2027 | AMAT-QUALIFY | 55% | 35.0 | 19.6 | 17.0 | 1.4 |
| Q1 2027 | AMAT-CHINA | 25% | -110.0 | -60.5 | -8.8 | -12.9 |
| Q2 2027 | AMAT-REPRICE | 60% | 46.8 | 39.7 | 2.3 | 22.4 |
| Q2 2027 | AMAT-QUALIFY | 55% | 35.0 | 19.6 | 17.0 | 1.4 |
| Q2 2027 | AMAT-CHINA | 25% | -116.9 | -64.3 | -9.3 | -13.7 |
| Q3 2027 | AMAT-REPRICE | 60% | 48.5 | 41.2 | 2.4 | 23.3 |
| Q3 2027 | AMAT-QUALIFY | 55% | 35.0 | 19.6 | 17.0 | 1.4 |
| Q3 2027 | AMAT-CHINA | 25% | -121.2 | -66.7 | -9.7 | -14.2 |
| Q4 2027 | AMAT-REPRICE | 60% | 50.8 | 43.1 | 2.5 | 24.4 |
| Q4 2027 | AMAT-QUALIFY | 55% | 35.0 | 19.6 | 17.0 | 1.4 |
| Q4 2027 | AMAT-CHINA | 25% | -126.9 | -69.8 | -10.2 | -14.9 |
| Q1 2028 | AMAT-REPRICE | 60% | 53.0 | 45.0 | 2.7 | 25.4 |
| Q1 2028 | AMAT-QUALIFY | 55% | 75.0 | 42.0 | 30.0 | 6.6 |
| Q1 2028 | AMAT-CHINA | 25% | -132.5 | -72.9 | -10.6 | -15.6 |
| Q2 2028 | AMAT-REPRICE | 60% | 56.0 | 47.6 | 2.8 | 26.9 |
| Q2 2028 | AMAT-QUALIFY | 55% | 75.0 | 42.0 | 30.0 | 6.6 |
| Q2 2028 | AMAT-CHINA | 25% | -140.0 | -77.0 | -11.2 | -16.4 |
| Q3 2028 | AMAT-REPRICE | 60% | 57.5 | 48.9 | 2.9 | 27.6 |
| Q3 2028 | AMAT-QUALIFY | 55% | 75.0 | 42.0 | 30.0 | 6.6 |
| Q3 2028 | AMAT-CHINA | 25% | -143.8 | -79.1 | -11.5 | -16.9 |
| Q4 2028 | AMAT-REPRICE | 60% | 59.5 | 50.6 | 3.0 | 28.6 |

| Quarter | Branch | p | Conditional revenue | Conditional GP | Conditional opex | Weighted OP |
|---|---|---|---|---|---|---|
| Q4 2028 | AMAT-QUALIFY | 55% | 75.0 | 42.0 | 30.0 | 6.6 |
| Q4 2028 | AMAT-CHINA | 25% | -148.8 | -81.8 | -11.9 | -17.5 |
| Q1 2029 | AMAT-REPRICE | 60% | 57.5 | 48.9 | 2.9 | 27.6 |
| Q1 2029 | AMAT-QUALIFY | 55% | 118.8 | 66.5 | 42.5 | 13.2 |
| Q1 2029 | AMAT-CHINA | 25% | -143.8 | -79.1 | -11.5 | -16.9 |
| Q2 2029 | AMAT-REPRICE | 60% | 59.0 | 50.1 | 3.0 | 28.3 |
| Q2 2029 | AMAT-QUALIFY | 55% | 118.8 | 66.5 | 42.5 | 13.2 |
| Q2 2029 | AMAT-CHINA | 25% | -147.5 | -81.1 | -11.8 | -17.3 |
| Q3 2029 | AMAT-REPRICE | 60% | 60.0 | 51.0 | 3.0 | 28.8 |
| Q3 2029 | AMAT-QUALIFY | 55% | 118.8 | 66.5 | 42.5 | 13.2 |
| Q3 2029 | AMAT-CHINA | 25% | -150.0 | -82.5 | -12.0 | -17.6 |
| Q4 2029 | AMAT-REPRICE | 60% | 62.0 | 52.7 | 3.1 | 29.8 |
| Q4 2029 | AMAT-QUALIFY | 55% | 118.8 | 66.5 | 42.5 | 13.2 |
| Q4 2029 | AMAT-CHINA | 25% | -155.0 | -85.2 | -12.4 | -18.2 |
| Q1 2030 | AMAT-REPRICE | 60% | 61.5 | 52.3 | 3.1 | 29.5 |
| Q1 2030 | AMAT-QUALIFY | 55% | 162.5 | 91.0 | 52.5 | 21.2 |
| Q1 2030 | AMAT-CHINA | 25% | -153.8 | -84.6 | -12.3 | -18.1 |
| Q2 2030 | AMAT-REPRICE | 60% | 63.0 | 53.5 | 3.2 | 30.2 |
| Q2 2030 | AMAT-QUALIFY | 55% | 162.5 | 91.0 | 52.5 | 21.2 |
| Q2 2030 | AMAT-CHINA | 25% | -157.5 | -86.6 | -12.6 | -18.5 |
| Q3 2030 | AMAT-REPRICE | 60% | 65.0 | 55.2 | 3.2 | 31.2 |
| Q3 2030 | AMAT-QUALIFY | 55% | 162.5 | 91.0 | 52.5 | 21.2 |
| Q3 2030 | AMAT-CHINA | 25% | -162.5 | -89.4 | -13.0 | -19.1 |
| Q4 2030 | AMAT-REPRICE | 60% | 67.5 | 57.4 | 3.4 | 32.4 |
| Q4 2030 | AMAT-QUALIFY | 55% | 162.5 | 91.0 | 52.5 | 21.2 |
| Q4 2030 | AMAT-CHINA | 25% | -168.8 | -92.8 | -13.5 | -19.8 |

# Claim decisions, overlap and triggers

## AMAT-REPRICE

probability: 0.6

source: Aug13 CFO reports value pricing on existing and new products; customer roadmap and urgent yield economics support a bounded future increment.

Conditional bound: 1-3% like-for-like premium on 50% of Semiconductor Systems sales from 2027; selected 2%. A 50% overlap haircut leaves net conditional sales equal to 0.5% of segment revenue.

bridge: 85% incremental gross-profit flow after manufacturing/input costs, less 5% incremental sales/support expense; 80% operating flow. Model probability 60%, not an issuer forecast.

overlap: Half the prospective premium is already represented in reference gross-margin progression. Apply only to new/repriceable sales; no extra pricing on the separate qualification branch, AGS subscriptions or existing fixed-price backlog.

## AMAT-QUALIFY

probability: 0.55

source: June25 memory/packaging portfolio; Sep29 Kioxia, Oct1 Besi and Oct6 Intel EPIC collaborations.

Conditional bound: 2027 gross opportunity $180-400m, selected 40 tool-equivalents at $7m = $280m. Selected gross sales $600m/$950m/$1,300m in 2028/29/30; these are acceptance proxies, not disclosed unit orders or ASPs.

bridge: 50% reference overlap leaves $140m/$300m/$475m/$650m conditional sales. Gross margin 56%, variable R&D/support 20% of net incremental sales plus fixed qualification cost $40m/$60m/$75m/$80m annually. Recognition requires delivered, qualified and accepted equipment, not the R&D announcement.

overlap: Reference already includes GAA, HBM and rising packaging intensity. The 50% haircut removes the overlapping wallet. No separate revenue is added for each partner, memory architecture, panel area or metrology step.

## AMAT-CHINA

probability: 0.25

source: FY25 10-K competition/export-control risks, Q3 remaining China exposure and customer vertical/local substitution.

Conditional bound: Additional 5-15% loss of a 25% exposed Semiconductor Systems sales pool, selected 10%, with 50% recapture elsewhere. Net selected conditional revenue loss is 1.25% of Semiconductor Systems from 2027.

bridge: 55% gross margin on lost sales, 8% variable cost/expense savings; net operating-profit loss 47% of lost revenue. Probability 25% is a model judgment.

overlap: Existing restrictions and the already-booked BIS settlement are in reference. This branch is only incremental future restriction/local substitution risk; no assumption a new law has already been enacted.

# Remaining bounded uncertainties

- Calendar conversion is an explicit monthly interpolation of issuer fiscal periods; issuer CY2026 itself means FY26Q2-FY27Q1. Strict calendar rows are not reported quarterly guidance. FY27Q1 extra week is included in its higher cost proxy.

- Q4 guidance is non-GAAP. Exact known acquisition bridge is $12m; split $7m COGS/$5m opex is a model allocation. Full GAAP reconciliation can change for unknown deals/charges. SBC stays expensed throughout.

- Future Semiconductor Systems sales and margins exceed an unchanged-share industry path. Execution requires new cleanrooms, qualified capacity and technology share/mix gains; no bank target, backlog dollar or arbitrary TAM multiplication supports the model.

- Packaging, HBM, process control and DRAM roadmaps overlap inside Semiconductor Systems. Neither 700 shared process steps nor panel surface area implies an equal increment in accepted tool sales.

- EPIC is an R&D partnership and a planned $5bn investment over time, not a disclosed equipment purchase order. Future partner payments, precise tool ASPs/units and recognition dates remain unavailable.

- Flat 800m diluted shares assumes cash capital return offsets employee dilution; no speculative net buyback benefit is included. Authorized but unissued plan reserves and $12.8bn buyback authorization are not shares or completed repurchases.

- Funding uses 15% cash tax, 4% debt interest, working assets at 68% of quarterly revenue and flexible capital return. These are model proxies; strategic long-term investments are not added to cash. Operating leases remain rent expense rather than a second debt deduction.

- Two latest official prepared earnings scripts were read; complete management Q&A was not recovered. Source visual review covered all 78 June master-class slides and all 35 Q3 slides. No October12/13 future event material has been assumed.

# Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.


[1] q3 release | 2026-08-13

https://ir.appliedmaterials.com/node/29551/pdf

Archived source SHA-256: cb3cb1be7c453094cc5a8c99d513758015aa3c4e1b1389cf635c970cc3a7f8b3

[2] q3 script | 2026-08-13

https://ir.appliedmaterials.com/static-files/e9985149-77c2-4cf3-aaad-a579178cbfe4

Archived source SHA-256: 6182f9582c7def32bee2a0f77f2675ccdc757e4f152e1c35c63794da72afc244

[3] q2 script | 2026-05-14

https://ir.appliedmaterials.com/static-files/28ef7eff-8b4d-418e-999a-dbfa403ce6f3

Archived source SHA-256: 1a2e05cb830c3f89e876aad8991e53597f45812608ba833487711caafd855701

[4] q3 deck | 2026-08-13

https://ir.appliedmaterials.com/static-files/9d5d182d-f060-4b22-a32c-4582257fdc9b

Archived source SHA-256: 1135a40ef88d773cb3df37793a19233da5741c6ee5f06ff60bda83954dbfa9fe

[5] q2 deck | 2026-05-14

https://ir.appliedmaterials.com/static-files/8b93db9d-50dd-42de-b440-560cf41f0071

Archived source SHA-256: 9b5ada8ae292e50e93688e77a7b3a8861b856db66802c629d5d24d1a58468110

[6] masterclass deck | 2026-06-25

https://ir.appliedmaterials.com/static-files/120c72b8-d5bf-427e-86bc-de1e2654af06

Archived source SHA-256: 2532249d533e1fbd9212ad7fc722fe810ba5e54d7a7c276f4d5a17b622f519c3

[7] masterclass remarks | 2026-06-25

https://ir.appliedmaterials.com/static-files/e8307fb9-c40b-4fee-abf9-3209c76ab08d

Archived source SHA-256: 729e15f8e84a1499568ee231297ef2084a3481d60266257183973f97e558b1a8

[8] 2025 10k | 2025-12-12

https://ir.appliedmaterials.com/static-files/af687923-06c7-4b43-a7a5-45750717f3ca

Archived source SHA-256: 6b7aa245ed70c7e8d775f77616686c13e7a9c176d05cf32591ef6ba818e78078

[9] q3 10q pdf | 2026-08-20

https://ir.appliedmaterials.com/static-files/14c1d32a-cac2-4c39-b895-f33dca70e1ef

Archived source SHA-256: 1faeee1320d19811b94d9a0be7aee57387a129d8839879d60f432ec77058de8e

[10] intel epic | 2026-10-06

https://ir.appliedmaterials.com/node/29696/pdf

Archived source SHA-256: fab4f72c943b278cab2890e126c5987ef13690362e105350bac66595d86e490a

[11] besi epic | 2026-10-01

https://ir.appliedmaterials.com/node/29676/pdf

Archived source SHA-256: 37a0220eab1cc653330d6830bce1f895c1a2e9479eb0621ff1b7d2e8fb125e27

[12] kioxia epic | 2026-09-29

https://ir.appliedmaterials.com/node/29666/pdf

Archived source SHA-256: c4cc0aa95bd3ab558705925083ece1e76e9b27bf5a1cf454dc5d627a2021d511

[13] SEMI midyear equipment forecast | 2026-07-14

https://www.semi.org/en/semi-press-release/global-semiconductor-equipment-sales-forecast-to-reach-a-record-229-billion-dollars-in-2028-semi-reports

[14] TSMC Q2 management transcript and capital budget | 2026-07-16

https://investor.tsmc.com/english/encrypt/files/encrypt_file/reports/2026-08/3e494f0c14dd0890f897aa044415e21d93486cc4/TSMC%202Q26%20Transcript.pdf

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.